

Fearnleys Dry Bulk Weekly

Apr 8, 2026



Capesize/Newcastlemax

AIS-based near-term indicators like South Atlantic tightness and VLOC congestion points in opposite directions. Fundamental data from China shows improvement over the last few weeks. The ceasefire in the Middle East will help sentiment. Overall, it seems like the market will be well supported, with no significant move in either direction.

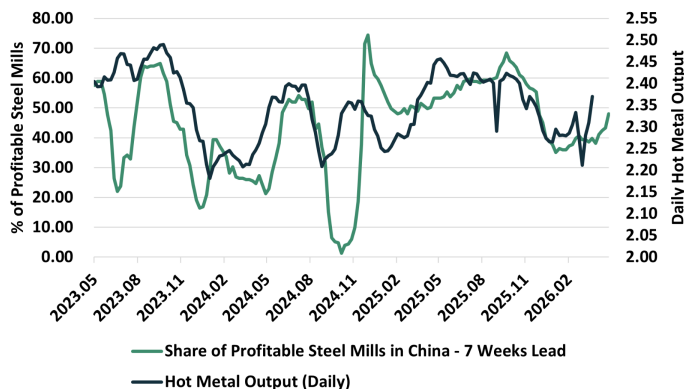
Top left chart: Blast furnace output has continued to rise, and could be said to slightly outperform steel mills' profitability now. That said, the peak demand season in China should continue to support iron ore demand. China's manufacturing PMI have risen, suggesting the underlying fundamentals remain well supported. Iron ore inventory drawing remains a downside risk, as seaborne prices remains higher than portside prices.

Top right chart: Shipment volumes were 6.3% higher than last year through week 14. Atlantic volumes are growing at a higher rate than Pacific volumes (covered in our shipment volume update sent earlier this week).

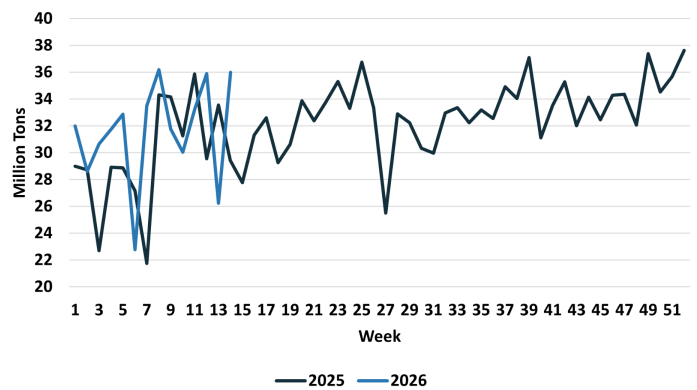
Bottom left chart: The South Atlantic tightness indicator has dropped significantly over the last week, and is now firmly in toppish territory.

Bottom right chart: VLOC congestion in Brazil has increased significantly in the last few weeks. The current reading has, over the last years, usually resulted in significant market upside. Since 2021, the average 4-week forward change of the BCI5TC is +45% when VLOC congestion in Brazil was between 20-30 ships.

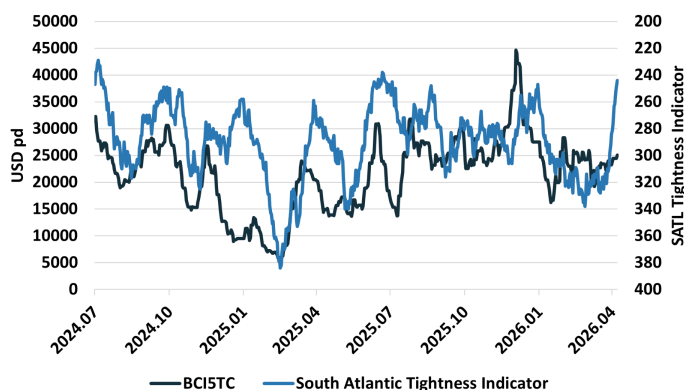
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



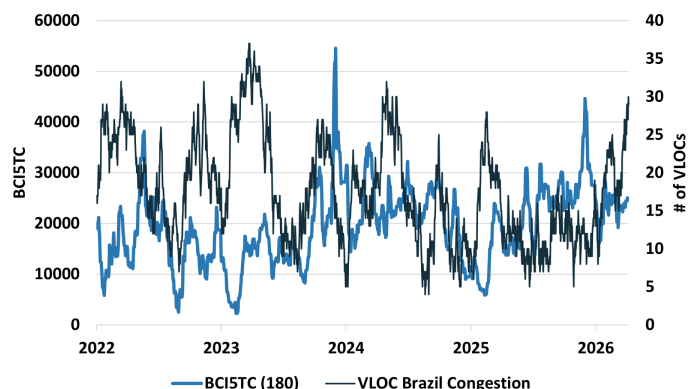
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



VLOC Brazil Congestion vs BCI5TC (180)



Panamax/Kamsarmax

The below indicators still suggest weakness. But they have also stopped worsening, which, seen together with the current positive sentiment, could mean the downtrend that began a month ago is over.

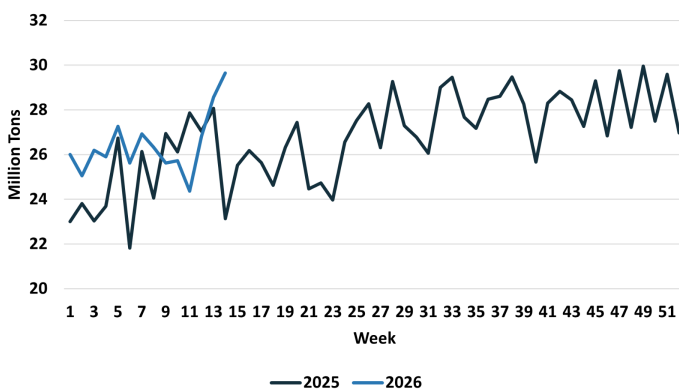
Top left chart: Shipment volumes were up 5.2% year on year through week 14.

Top right chart: Sigh of relief in energy markets. Contango in the coal futures curve has increased, signalling P5 will continue trending sideways to downwards.

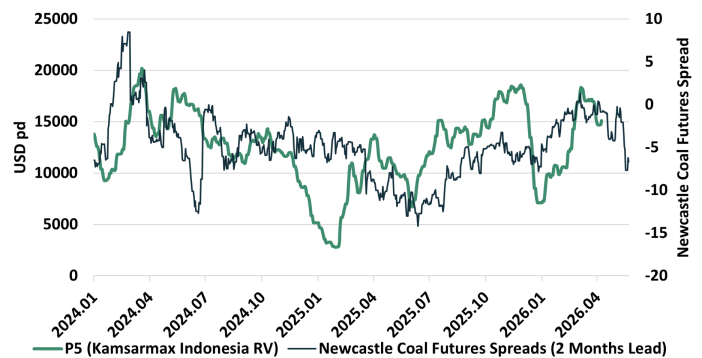
Bottom left chart: The Pacific tightness indicator still suggests weakness going forward. The indicator has stopped falling, however, which might mean the market will find a bottom this month.

Bottom right chart: P6 rebounded in the last two weeks. The SATL tightness indicator still suggests the market could turn down. However, it has also stopped falling, suggesting a bottom in late April/early May.

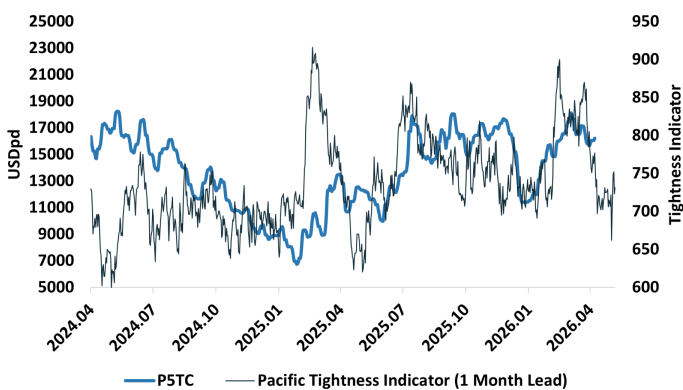
Weekly Shipment Volumes



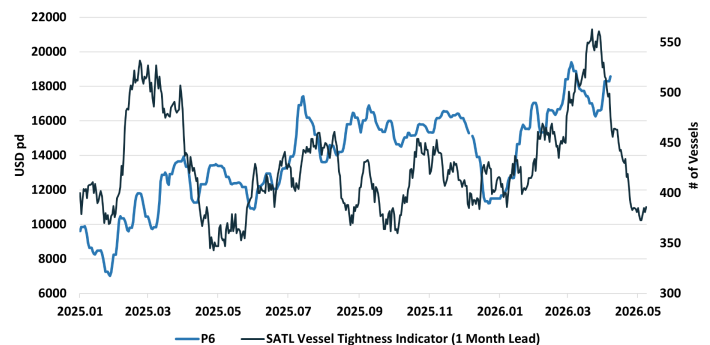
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

The ballaster/laden vessel ratio has dropped further, reflecting improving fundamentals. Industrial metals prices point to a loss of upward momentum, however, meaning much further upside is hard to expect.

But, as there is now a ceasefire in the Middle East and a bullish relief rally across global markets (stocks and industrial metals up, dollar down, energy prices down), things could quickly turn for the better.

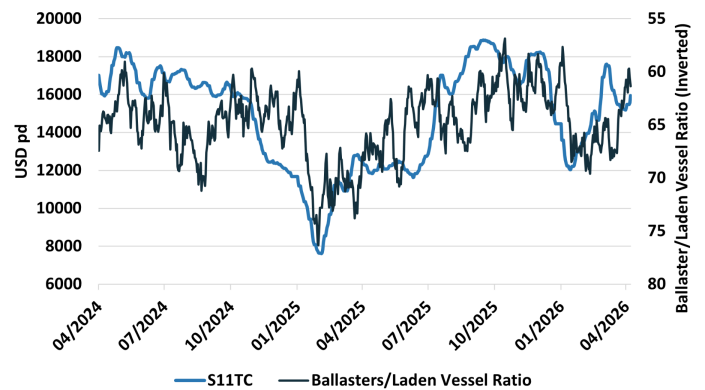
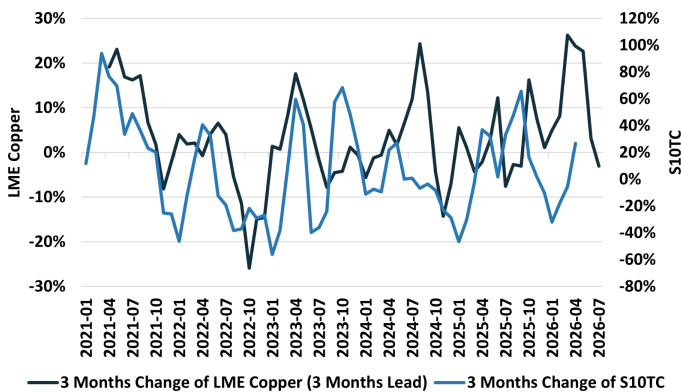
Top left chart: The three-month change in the price of copper has fallen noticeably. Usually, there is a lag of a few months before the same development is seen in the Supramax/Ultramax market. The correlation is still not suggesting the market will fall significantly, but rather that the upside is limited going forward.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

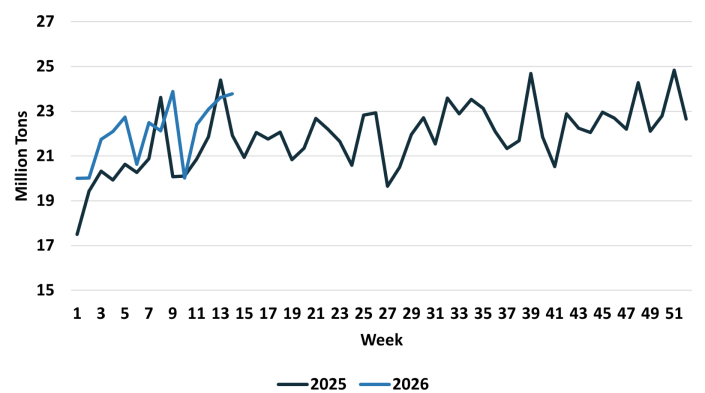
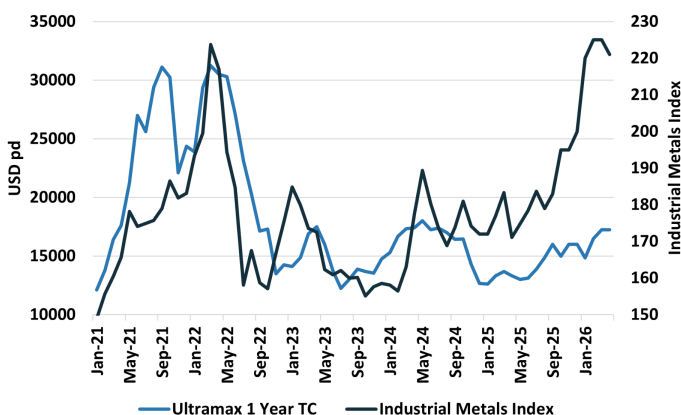
Bottom left chart: Industrial metals prices have displayed weakness in the last couple of months. We held the view before this year that 1-year TC rates likely would exceed the peak reached in 2024. This now seems much less likely, as fundamentals have taken a hit from the consequences of the Iran war. The ceasefire could mean this will change, and hopefully a lasting peace agreement will be reached.

Bottom right chart: Shipment volumes were up 5.7% year on year through week 14.

Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



Industrial Metals Index vs Ultramax 1 Year TC Weekly Shipment Volumes



Handysize

Market upswing coming? The Ultramax market has firmed up and Handies normally follows. The laden/ballast ratio remains high at close to 70%.

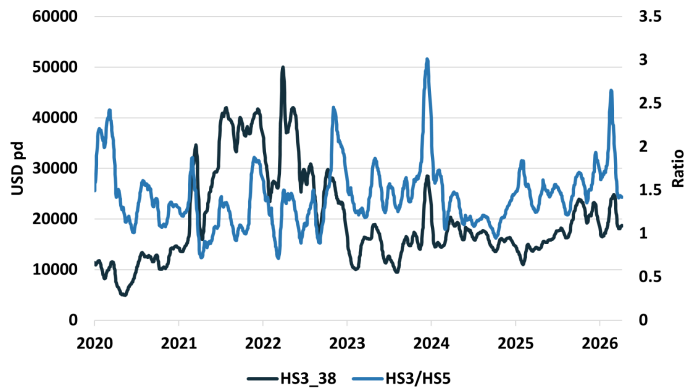
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 11, Handysize shipment volumes were 5.6% higher than the same period in 2025.

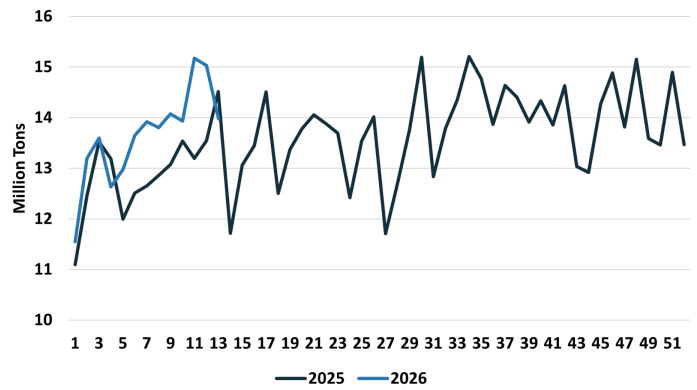
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The changes in the price of copper usually lead the changes in second-hand values, by about 6 months. Positive momentum for values is still suggested for the coming months, though also a potential peak in the middle of this year.

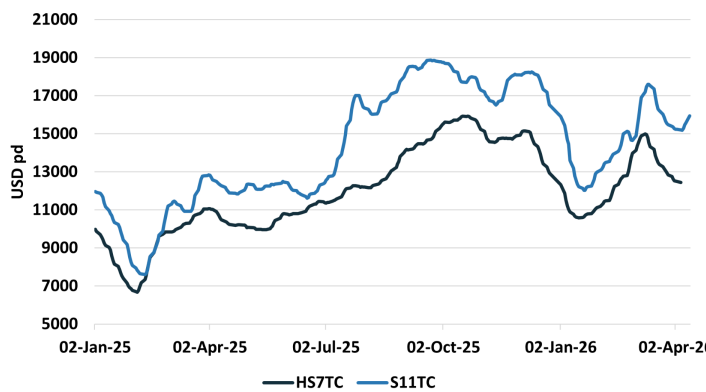
HS3 vs Ratio of HS3 and HS5



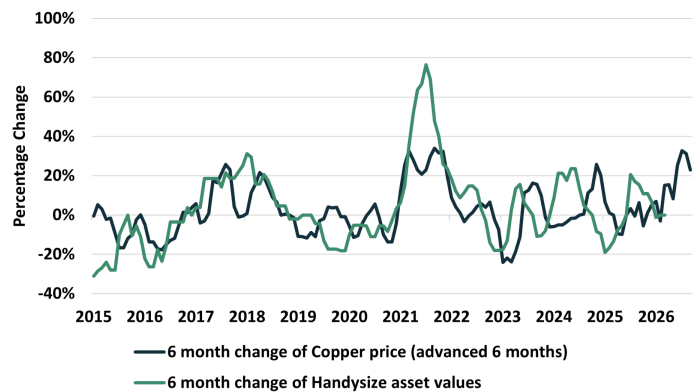
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Copper Price Changes (Lead 6 Months) vs Handysize 10 Year Old Changes





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